



**STRATTON  
OAKMONT, INC.**

**FOR TRAINING PURPOSES ONLY**

## QUALIFYING CALL

"Hello, Mr. (first & last name) please!" "Mr. (last name), (RR name) from Stratton Oakmont in NY. How are you today?"

"Great".

"Sir, I know you're busy, I'll get right to the point."

"Are you familiar with (the name, firm) Stratton Oakmont?"

(if yes) "Do you presently have an account with Stratton Oakmont?"

(if not) "That's fine, you may not be". "We specialize in both foreign and domestic special situations, new issues, --- secondaries things of that nature."

"Very simply sir, with your permission, all I would like to do is introduce myself and my firm, forward you a complimentary issue of our monthly research report and at a later date, perhaps get back to you with our latest recommendation." Fair enough?"

## QUALIFYING QUESTIONS

"In order not to waste your time with an inappropriate investment or something that was not suitable for you."

"Do you prefer Big Board or Over The Counter (OTC)?"

"Have you invested internationally?" "Japan, Mexico, Germany?"

"When you invest, do you usually invest more long term or more short term?"

"And by what nature, are you more aggressive or more conservative?"

"Nothing specific, approximately how much do you have in the market?"

"Ballpark figure."

"When you like an idea, what's a comfortable dollar range you normally work with?"

"Ballpark?" (If the answer is "I don't know")

"If I came back to you with an idea that you like, and the timing is right, - ballpark, what would you feel comfortable with?" "Ballpark."

"So that I know (what you like) or (your investment objectives), can you name for me a few stocks that you recently purchased or are currently holding?"

"Mr. \_\_\_\_\_, what I will do is have my secretary forward that out."

"If you have any questions, please feel free to give me a call."

"Thanks for your time."

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..."Fair enough".

If yes, "Just a few quick questions so that in the future I won't waste your time."

If no, (Don't waste time with unqualified prospects)

"Are you presently invested in the market?"

"From what I understand you've invested in the past?"

(He may not have done something in a while).

"From what I understand, you deal with a local broker?"

#### **REBUTTALS:**

Remember your time is valuable, do not waste it with people that are not qualified.

#### **NOT INTERESTED: Q:**

"Are you presently in the market?"

(If yes, clarify that):

"We only make a handful of recommendations a year."

(If no, maybe he hasn't done something yet)

"From what I understand, you've invested in the past."

or "From what I understand, you invest with a local broker?"

#### **OTHER BROKER**

**LOCAL BROKER:** "That's great, we are not looking to interfere with anything your currently doing." "I was only hoping that in the future, when we isolate a situation with strong potential to make you money, you would have an open ear."  
"Fair enough?"

"Believe me I wouldn't be calling you if you didn't."

"Most of our clients have 2 or 3." "Stratton is a boutique investment banking firm making only a handful of recommendations a year, and I was only hoping at some point in the future to run an idea by you."

- If you like it, perhaps we could do business,

- If not, you will never hear from me again

"What do you say?"

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## WHAT IS A QUALIFIED INVESTOR?

1. Any corporation or individual investor with \$100 K annual income and book net worth or more in the stock market.
2. Any investor with \$100 K or more in the stock market who is somewhat receptive. I say somewhat because they don't have to be overjoyed that they heard from you.

## FOR A BETTER QUALIFIED LEAD, THE FOLLOWING INFORMATION WOULD BENEFIT BOTH THE BROKER AND THE PROSPECT:

1. Big Board, OTC or International Investments
2. Aggressive or conservative
3. More long term or short term
4. Ballpark number/amount in the market
5. Comfort level on an idea
6. Area of interest (eg: drugs, auto, retail, biotech, etc....)
7. Most recent investment

## DO'S

1. Be an example of what a broker trainee should be.
2. Separate yourself from the crowd. Eagles don't flock, you find them one at a time.
3. Always be polite and professional. Each contact you make is a representation of the firm image.
4. Try to keep motivated and energetic throughout the day. This will build endurance and most important foundation for your success. This business is not a sprint but a marathon, don't ever forget that.
5. Make the most of your day, keep focused and keep your eyes on your goals...daily, weekly, monthly etc....
6. Play by the numbers, it is proven, stick to it. Speak to 50 people a day or 5/6 an hour. This is a profession, the more people you contact, the better you will actually do!
7. Thank every prospect (good, bad or indifferent) for their time. It helps keep you out of trouble and people will understand you're only doing your job, trying to make a living.
8. Never ever think or believe that you are just a cold caller, no matter what I say or anyone else. You are an apprentice of a stockbroker who is learning a career. Simply put, a broker trainee.
9. Be prepared to live for your first two years like no one else. Working harder than you ever thought possible and for the rest of your life you will live like no one can.

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## OTHER TIPS

Stick to the program  
Listen to what the man says  
Be a good listener  
Be confident  
Find a role model or mentor  
Be consistent - Not fair weather

## DONT'S

1. Pick up bad habits. You first make your habits, then your habits make you. This is the most important philosophy for you to understand. You don't suddenly have a bad habit; for example, you don't become an alcoholic or a drug addict. You make one mistake, then another and another and this creates a habit. Once it is almost impossible to break. Think about it, we are all creatures of habit. We wake up at the same time, we eat the same things, we go to the same hangouts and say the same things over and over. Don't let destructive behavior become a habit.
2. Never ever be discourteous to a prospect or their secretary. How foolish could one be? You told them your name and the firm which you represent - This will certainly come back to haunt you, the broker and the firm you work for. Save yourself the heartache and embarrassment by keeping your composure. Be polite, apologetic, respectful and professional.
3. Don't waste time, there are only so many hours in a day, and so many minutes in an hour. Every minute counts - every single minute. You spend most of your day trying to make contact, you've got to get the dials in.
4. Never comment on or after each phone call or lead. Everyone has a story to tell, either this or that, nobody wants to hear it! Nobody! Just get your leads and do your job, that's it. Who cares how your conversation with Mr. Jones was? Good or bad, who cares?
5. Don't ever waste your time talking and screwing around with other brokers or trainees. At the end of each day you are judged on your performance, and so is the fool next to you who lets you distract him. You are all on a mission, to be a great cold caller, pass your test and be a successful stockbroker. Any other activity beyond your mission is a waste of time ( see #3 on Wasting Time or #1 on Bad Habits for a more detailed explanation).
6. Don't make non-productive phone calls either to friends outside or brokers inside the firm. The phones in the boardroom are for business - period.
7. Never drift into space while cold calling. Stay focused and pumped. Keep your blood pumping by standing and moving around.

### Why:

- (a) If he's up + you're down = no conversation
- (b) If he's down + you're down = no conversation
- (c) If he's down + you're up = no conversation
- (d) If he's up + you're up = conversation is up

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Investment Bankers

Member  
NASD, SIPC, MSRB

## Unleash Your Productivity

It doesn't take any special talent or ability to be highly productive

- Only you can make yourself more productive. All your boss can do is provide the right atmosphere.
- Your happiness and well being depends on how productive you are.

**"YES"** answers put you in step with the principles set forth in **Unleashing Productivity!**, a new book that shows us how to turn ourselves into highly productive human beings.

The hardcover identifies five barriers that cut productivity:

- **Worry**, which diverts brainpower from productive thinking, Tip: Catch yourself worrying; then try to identify the underlying problem.
- **Erosion of energy and enthusiasm**, something that happens to all of us at some point. Tip: Motivate yourself by realizing how your decisions and actions affect others.
- **Negative emotions**, which poison our ability to be productive. Tip: "Get in the habit of interpreting occurrences as good for you".
- **Avoiding action**, something that happens despite the best intentions and aspirations. Tip: Don't just talk about doing something, commit yourself.
- **The "When Disease"**, This barrier has to do with constantly asking yourself "when" questions, such as "When will my career take off?" Tip: Don't wait for others to reward you. Reward yourself and do it regularly.

The book, written by Richard Ott, president of management consulting firm, with Martin Shead, vice president, also offers "Productivity Thrusters" - techniques used by the world's most productive people.

Among these are:

- **Micro-macro vision**. "Productive people", says Ott, "are both detail-oriented and concept-oriented".
- **Patience and relaxation**. People who huff, puff, scratch and claw usually achieve only average results. "Highly productive people appear to be calmly cruising to victory time and time again".
- **Highly concentrated attention**. Tip: Learn to turn out all the nonrelevant stimuli that reach your five senses.

Also, Successful Telephone Selling In The '90s, by Martin D. Shafiroff and Robert L. Shook, found in your local bookstore.

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I'M NOT INTERESTED

Have  
Broker

1. I understand your not interested \_\_\_\_\_. I'm not looking to interfere with your brokers. I just want to share an idea with you sometime in the future. If you're not 110% impressed, you will never hear from me or my firm again. Fair enough? A.B.C.

Sales  
Call

2. This is not a sales call \_\_\_\_\_, I'm just sending out information that will impress you.

Not  
interested  
W.S.J.  
Forbes

3. \_\_\_\_\_, perhaps your lack of interest is sparked by your lack of knowledge about our firm. Stratton Oakmont has been written up in the Wall Street Journal, Forbes and a plethora of other financial publications. We were #1 in new issues for the first quarter of 1994. Take a look at my track record, believe me, you'll be impressed. A.B.C.

Dark  
interest

4. \_\_\_\_\_, believe me, I didn't think I could spark your interest in a 30 second phone call. Let me simply get this information out to you and if I fail to overwhelm you, then we'll part as friends. Is that reasonable enough? A.B.C.

Judge  
me on a  
30 sec.  
call

5. \_\_\_\_\_, I understand that you're not interested, but you can't judge me on a 30 second phone call. What I simply want to do is get this information out to you and down the road, you be the judge and jury. Your best address is at ... A.B.C.

track  
record  
credentials

6. \_\_\_\_\_, just take a look at my track record, my credentials. If you're impressed, great. Maybe we can do business in the future. If not you will never, ever hear from me again. A.B.C.

1%  
confidence

7. \_\_\_\_\_, just give me 1% vote of confidence and I'll earn the other 99%. I have the capability as well as you have the opportunity to have a major impact on your networth. We deal with areas of the market your broker can't even touch. I.P.O.'s secondaries etc. Just give me one minute down the road and you'll be very very impressed. A.B.C.

don't  
know me

8. \_\_\_\_\_, I understand you don't know me. You get these calls all the time. However, let me get my track record out to you today. If you're not 110% impressed, you will never hear from me or my firm again. A.B.C.

## QUALIFYING FOR MONEY

Experienced stock brokers will tell you, there is virtually no difference in the effort expended in closing an account for \$5,000 or \$50,000 account and the client will have a better opportunity to be successful.

Unfortunately when it comes to qualifying for money many brokers go about it the wrong way. The usual qualification by most amateur brokers is, "how much risk capital do you have for speculation". When asked in this matter most prospect will ask, "what is the minimum" or give you a number much lower than they are capable of investing.

I recommend considering the following qualification as a guide whenever qualifying for money:

Mr. Prospect if after you receive the information, me answering your questions and concerns, your feeling comfortable with me and my firm and you decided to invest, could you comfortably handle \$100,000 in liquid risk capital within the next few weeks?

If the prospect indicates \$100,000 is too much money, you might say:

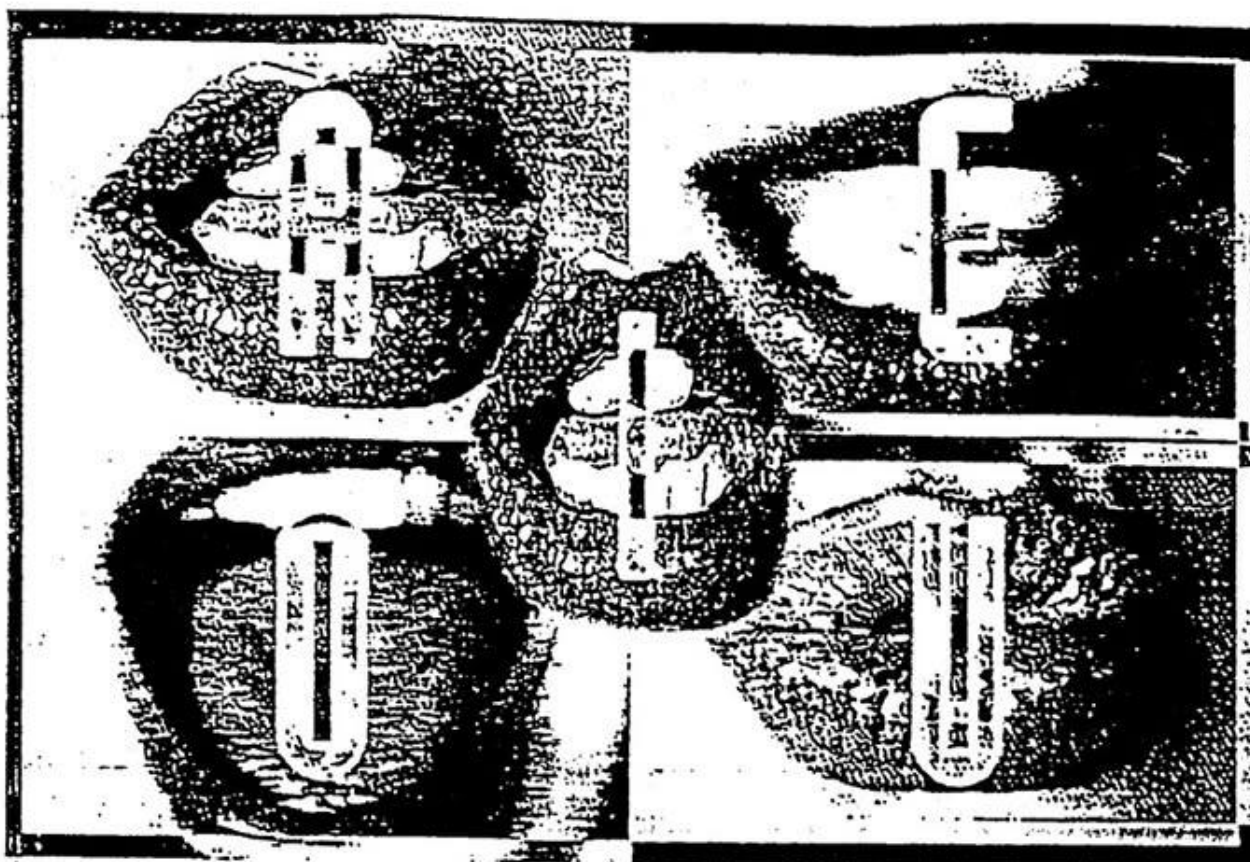
My greatest concern is not how much you invest but to start a business relationship with you. How much risk capital do you have available now if you liked what you saw and decided to invest?

By taking this approach you will qualify for much larger amounts of money. When you are concentrating on a portfolio of 100, 50 or even 25 thousand dollars and the prospect is nervous or apprehensive to open an account, as last resort, "drop closing" to a lesser amount, many times it will enable the prospect to feel comfortable enough to become your client. It's always easier going down than up.

Remember, if the investor is in the financial position, its no more difficult closing a \$160,000 than a \$10,000 account.

Qualify for large size accounts, always thinking and talking about large size accounts and your thoughts and hard work will form an attraction force bringing them to you.





# TRAINING YOUR VOICE

Try this: Tape record your voice, talking about something you enjoy, or an idea you think is very important. Then listen to the recording.

Is your voice:  
high and nasal?  
low and  
resonant?  
somewhere in  
between?

Do you speak:  
in a varying  
pitch?  
in a  
monotone?

Does your voice  
project well?

Do you put a  
"smile" in your  
voice?

Do you speak:  
too fast?  
too slow?  
at a comfort-  
able speed?

What do you  
like about your  
voice?  
What would you  
like to change?

Try these voice exercises:

**1. Practice breathing from the diaphragm.**

Place your hands on your midriff, just below your rib cage. Inhale deeply through your nose, letting the area touching your hands expand as your lungs fill with air. Exhale slowly through your mouth, forcing the air out from below your rib cage. The idea is to breathe with your diaphragm, not your rib muscles. Repeat three times, then let your breathing relax to a natural rhythm. Using the diaphragm makes your voice more resonant.

**2. Stretch your vocal cords.**

Inhale as above. As you exhale, open your mouth and throat wide and relax your jaw. Exhale through your vocal cords,

starting with a high pitched sound and gradually dropping to a low pitch, as in a loud, satisfying yawn.

**3. Relax your head and shoulder muscles.**

Tilt your head to one side, as if to touch your ear to your shoulder. Repeat on the other side. Shrug your shoulders, then relax them. Tighten and loosen your facial muscles. Open your mouth wide and let your jaw go slack.

**4. Vary your pitch.**

Read something out loud, making your voice go up and down like a roller coaster.

**5. Experiment with emphasis.**

Read this sentence several times, each time emphasizing a different word: "Are you coming with me now?"

Record your voice periodically or ask for feedback from friends who listen to you. It's the best way to improve your speaking voice.

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# Always Be Closing!

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## GET THAT LEAD!